

Declining poverty, and the data that shows it

Poverty and inequality estimation in India have been subjects of **considerable debate**, especially in recent years with the economy experiencing several shocks. The great India poverty debate has, in fact, been **marked** by significant **differences** of opinion on the household survey data which forms the basis of estimation, the construction of the poverty lines, and on the trends over the **decades**. The debate has been particularly heated in the absence of data — the government did not release the consumption expenditure survey data for 2017-18 due to “data quality issues”. This **led to** several studies trying to estimate poverty levels in India by **drawing on** alternate data sources such as the Periodic Labour Force Surveys and the CMIE data. Recently, the government has attempted to fill the data gap by conducting two rounds of household consumption expenditure surveys for 2022-23 and 2023-24. These surveys now allow for an examination of the trends in poverty over the past decade or so. The decline has been significant.

Extreme poverty in India **is** estimated to have declined from 27.1 per cent in 2011-12 to 5.3 per cent in 2022-23 as per the latest World Bank data reported in this paper. This **steep** decline has occurred even as the Bank has raised the **threshold** for measuring extreme poverty to \$3 a day from \$2.15 earlier. **To put these figures in perspective** — **the number of** people living in extreme poverty in India **fell** from 344.47 million to 75.24 million over this period. While there has been some concern over the comparability of the consumption expenditure surveys **carried out** in 2011-12 and 2022-23 due to changes in the manner in which the recent survey was carried out and its sampling design, this is a steep decline. **Moreover**, even **considering** the poverty line for lower-middle income countries of \$4.2 per day (revised upwards from \$3.65), the poverty ratio in India fell from 57.7 per cent in 2011-12 to 23.9 per cent in 2022-23. The decline appears to have continued in the year **thereafter**. Earlier, Niti Aayog had estimated that **multidimensional** poverty in India had also **registered** a steep decline — falling from 55.34 per cent in 2005-06 to 24.85 per cent in 2015-16 to 14.96 per cent in 2019-21. This **estimate** of poverty **was** based on 12 indicators and drew on data from the National Family Healthy Surveys.

Alongside these poverty estimates, the World Bank has also estimated that **inequality** in India, based on measures such as the Gini and Theil **indices**, **did** fall between 2011 and 2022. However, these estimates of inequality are based on the household consumption expenditure data, which typically **tends to** be lower than estimates based on household income. This is not just an academic exercise. The **data** from the latest rounds of the consumption expenditure surveys as well as the labour force surveys **must** serve as a valuable input for policy, informing the choices of **policymakers**. **[Practice Ex.]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

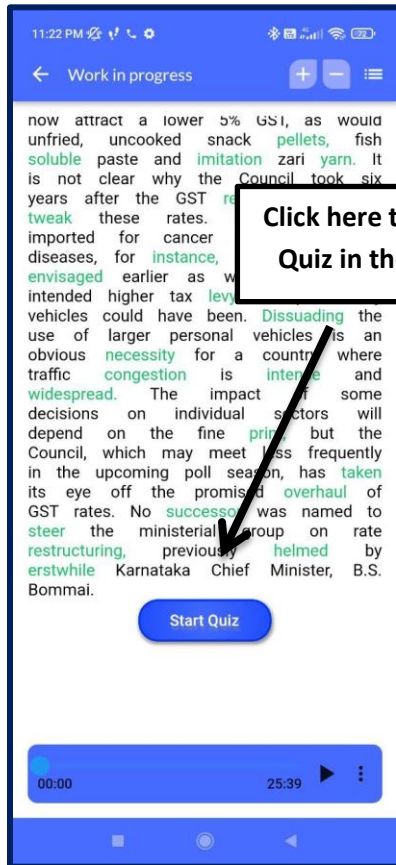
Vocabulary

1. **Considerable** (adjective) – significant, substantial, noteworthy, extensive, important पर्याप्त / उल्लेखनीय
2. **Debate** (noun) – discussion, argument, dispute, deliberation, controversy बहस
3. **Mark** (verb) – indicate, signify, characterize, highlight, denote चिह्नित करना
4. **Differences** (noun) – a disagreement, quarrel, or dispute मतभेद
5. **Decade** (noun) – Period of ten years दशक
6. **Lead** (to) (verb) – result in, cause, bring about, give rise to, produce वजह बनना
7. **Draw on** (phrasal verb) – utilize, rely on, make use of, refer to, tap into उपयोग करना
8. **Steep** (adjective) – sharp, significant, drastic, rapid, sudden तेज / तीव्र
9. **Threshold** (noun) – limit, level, point, margin, boundary सीमा / दहलीज
10. **To put something in perspective** (phrase) – to compare for clarity, to understand context, to assess realistically, to provide contrast, to view relatively दृष्टिकोण से समझना
11. **Carry out** (phrasal verb) – conduct, perform, execute, implement, accomplish करना / लागू करना
12. **Moreover** (adverb) – additionally, besides, furthermore, also, in addition इसके अलावा
13. **Considering** (preposition) – given, in view of, taking into account, regarding, assuming ध्यान में रखते हुए
14. **Thereafter** (preposition) – after that, subsequently, then, later, next उसके बाद
15. **Multidimensional** (adjective) – complex, varied, multi-aspect, multifaceted, composite बहुआयामी
16. **Register** (verb) – record, reflect, indicate, show, document दर्ज करना
17. **Alongside** (adverb) – together with, in parallel with, simultaneously with, accompanying, beside साथ में
18. **Indices** (noun) – indicators, measures, gauges, benchmarks, standards सूचकांक
19. **Tend** (to) (verb) – be likely to, have a tendency to, be prone to, usually, generally प्रवृत्त होना
20. **Policymaker** (noun) – legislator, lawmaker, regulator, decision-maker, authority नीति निर्माता

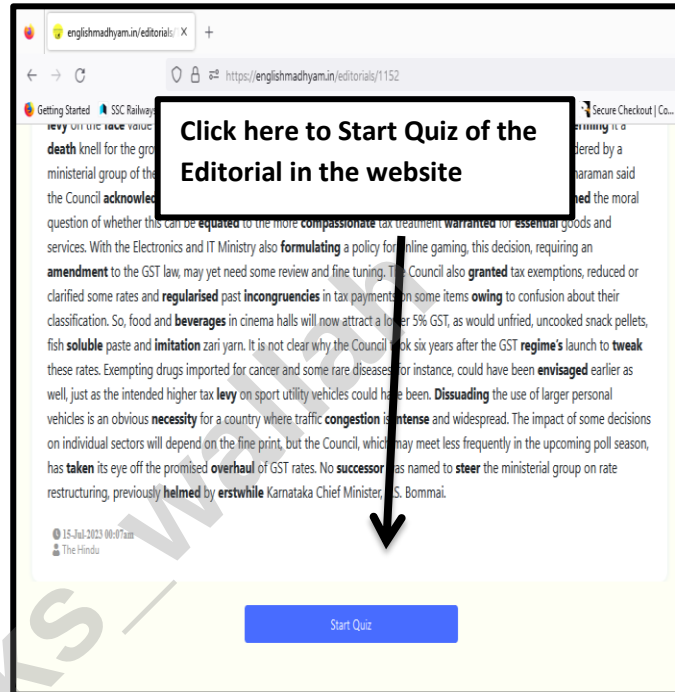
Summary of the Editorial

1. **Debate Over Poverty Estimation:** Poverty and inequality estimation in India has long been contentious, especially due to economic shocks and data disputes.
2. **Data Gaps:** The government did not release the 2017–18 consumption expenditure data, citing data quality issues, which intensified the debate.
3. **Alternative Data Sources:** In the absence of official data, researchers used other sources like the Periodic Labour Force Surveys and CMIE data to estimate poverty.
4. **New Surveys Released:** The government conducted two new household consumption expenditure surveys in 2022–23 and 2023–24 to fill the data gap.
5. **Significant Decline in Extreme Poverty:** World Bank estimates show that extreme poverty in India dropped from 27.1% in 2011–12 to 5.3% in 2022–23.
6. **Higher Poverty Line Used:** This decline occurred even after the World Bank raised the extreme poverty line from \$2.15 to \$3 per day.
7. **Sharp Drop in Number of Poor:** The number of people in extreme poverty reduced dramatically from 344.47 million to 75.24 million.
8. **Survey Comparability Concerns:** Some concerns remain over comparability between the 2011–12 and 2022–23 surveys due to changes in methodology.
9. **Decline at Higher Poverty Thresholds:** Using the \$4.2/day poverty line for lower-middle-income countries, poverty fell from 57.7% to 23.9% over the same period.
10. **Trend Continues:** The poverty reduction trend appears to have continued beyond 2022–23.
11. **Multidimensional Poverty Also Declined:** NITI Aayog data shows multidimensional poverty dropped from 55.34% in 2005–06 to 14.96% in 2019–21.
12. **Based on Multiple Indicators:** The multidimensional poverty index is based on 12 indicators using data from National Family Health Surveys (NFHS).
13. **Inequality Decline:** Inequality, measured through Gini and Theil indices, also fell between 2011 and 2022, per World Bank estimates.
14. **Caveat on Inequality Data:** These inequality figures are based on consumption data, which usually understate inequality compared to income-based measures.
15. **Policy Relevance:** The latest consumption and labour force survey data should be used actively by policymakers to shape inclusive economic policies.

Practice Exercise: Banking Pattern Based



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